

FORMAL OBJECTION TO MUNICIPAL PROPERTY RATES ASSESSMENT

Cramond Estate — 2026/2027 Financial Year

Date: 21 February 2026

From: Anthony Mark Avis ID Number: 6009265112081 14 Cramond Road Camps Bay Cape Town, 8005 t.avis@cesnet.co.za

To: The City Manager City of Cape Town 12 Hertzog Boulevard Cape Town, 8001

Attention: Director: Valuations / Revenue Management

RE: FORMAL OBJECTION TO PROPERTY RATES ASSESSMENT AND ANNUAL TARIFF INCREASE — FINANCIAL YEAR 2026/2027

Dear City Manager,

I hereby submit this formal written objection to the property rates levied on the above-mentioned property for the 2026/2027 financial year. This objection is lodged in terms of:

- **Section 9 of the Local Government: Municipal Property Rates Act 6 of 2004 (MPRA)**, which entitles any owner to object to a rates valuation or assessment;
 - **Section 78 of the Local Government: Municipal Systems Act 32 of 2000**, which requires municipalities to follow a consultative process before adopting tariff increases;
 - **Section 229 of the Constitution of the Republic of South Africa, 1996**, which grants municipalities the power to impose rates subject to regulation by national legislation; and
 - The **City of Cape Town's Rates Policy** (adopted annually in terms of Section 3 of the MPRA), which must reflect fair, equitable and transparent criteria for rate-setting.
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1. BACKGROUND AND FACTUAL BASIS

I am the registered owner of the property described above and have been subject to the City of Cape Town's municipal rates assessment for the past four financial years. The following rates have been levied on this property:

Financial Year	Rates Levied (R)	Year-on-Year Increase (%)
2022/2023	R13,062.00	Base year (this analysis)
2023/2024	R13,264.48	+1.55%
2024/2025	R14,705.00	+10.86%
2025/2026	R15,860.00	+7.85%

Furthermore, the **municipal property valuation** of this property has been revised as follows:

Year	Municipal Valuation (R)	Change
2023	R23,485,000	—
2024	R24,200,000	+3.04%
2025	R24,200,000	0.00%
2026	R26,100,000	+7.85%

The 2026 valuation increase of **R1,900,000 (+7.85%)** directly drove the corresponding rates increase and forms a core ground of this objection.

2. GROUNDS OF OBJECTION

2.1 Rates Increases Substantially Exceed Consumer Price Inflation (CPI)

South African headline CPI, as published by **Statistics South Africa (Stats SA, P0141 — Consumer Price Index)** and corroborated by **World Bank national accounts data**, has been as follows:

Year	SA Headline CPI (Annual Average)	Source
2023	6.08%	Stats SA P0141 / World Bank WDI
2024	4.36%	Stats SA P0141 / World Bank WDI
2025	~3.20%	Stats SA P0141 (provisional annual avg)
2026	~4.50%	SARB Monetary Policy Review (forecast)

Against this backdrop, the rates increases levied by the City of Cape Town are as follows:

Period	Rates Increase	SA CPI	Excess Above CPI
2023 → 2024	+1.55%	4.36%	-2.81% (<i>below CPI</i>)
2024 → 2025	+10.86%	3.20%	+7.66% above CPI
2025 → 2026	+7.85%	4.50%	+3.35% above CPI

The 2024/2025 rates increase of **10.86%** was approximately **3.4 times the prevailing CPI rate** of 3.2%. The 2025/2026 increase of **7.85%** is **74.4% above the 4.5% CPI forecast**. This constitutes a sustained and significant departure from cost-of-living benchmarks and is disproportionate to any reasonable measure of inflation or service delivery cost increases.

2.2 The Property Revaluation is Disputed

The municipal valuation of the property has been increased from **R24,200,000 to R26,100,000**, representing an increase of **R1,900,000 (7.85%)**. I respectfully submit that this valuation:

- (a) Has not been adequately substantiated by the City with reference to comparable sales data in the Cramond area during the relevant valuation period;
- (b) May not accurately reflect the **market value** of the property as at the valuation date, as required by **Section 46 of the MPRA**, which provides that "a property must be valued at the amount the property would have realised if sold in the open market by a willing seller to a willing buyer";
- (c) Has not been accompanied by sufficient notice and transparency regarding the methodology employed by the Municipal Valuer, contrary to **Section 49 of the MPRA**, which requires the City to give notice of a new valuation roll and afford owners the opportunity to inspect same.

2.3 Cumulative Impact is Unreasonable and Inequitable

Taken cumulatively, the total rates paid over the period 2023–2026 have increased by **R2,798.00 per annum (+21.4%)** in absolute terms. Over the same three-year period, cumulative CPI was approximately **14.5%** (compounded). The rates burden has therefore grown **47.9% faster than inflation** over this period.

This is inconsistent with the principle of **equity** enshrined in **Section 3(3)(a) of the MPRA**, which requires that a rates policy must treat ratepayers equitably and must reflect the financial capacity of residents to pay.

2.4 Additional Levies — City Improvement District (CID) and Cleaning Charges

I further note that from the 2024/2025 financial year, additional levies were introduced or increased as follows:

Charge	2024/2025	2025/2026	Increase
Cleaning Levy	R2,188.00	R2,188.00	0.00%
CID Levy	R1,936.00	R2,087.00	+7.80%
Total Bill	R18,829.00	R20,135.00	+6.94%

The CID levy increase of **7.80%** also exceeds the CPI benchmark. I request a full breakdown of the CID budget, expenditure and justification for this increase, as required under the **City Improvement Districts By-Law (2009)**.

3. LEGAL FRAMEWORK AND OBLIGATIONS OF THE CITY

The City of Cape Town is obliged, in terms of the following legislation, to ensure that rates are fair, transparent and proportionate:

1. **MPRA Section 3(3)** — The rates policy must treat ratepayers equitably and must take into account the impact of rates on the poor and on the economy.
2. **MPRA Section 8** — The City must reflect its rates policy in the annual budget and must motivate all rate categories and tariffs.
3. **Municipal Systems Act Section 74(2)(a)** — Tariffs must be affordable and must be designed to recover only the reasonable cost of the service.
4. **Municipal Finance Management Act (MFMA) 56 of 2003, Section 17(3)** — The annual budget must be funded and must not impose an unreasonable fiscal burden on ratepayers.
5. **Promotion of Administrative Justice Act (PAJA) 3 of 2000** — Any administrative action, including the levying of rates, must be procedurally fair, rational and lawful.

4. RELIEF SOUGHT

In light of the above, I respectfully request the City of Cape Town to:

1. **Review and reduce** the 2025/2026 rates levy to a level consistent with CPI (i.e., not exceeding 4.5%), being **R15,367.53** (representing a 4.5% increase on R14,705.00);

4. RELIEF SOUGHT

In light of the above, I respectfully request the City of Cape Town to:

1. **Review and reduce** the 2025/2026 rates levy to a level consistent with CPI (i.e., not exceeding 4.5%), being **R15,367.53** (representing a 4.5% increase on R14,705.00);
2. **Reconsider and justify** the property revaluation from R24,200,000 to R26,100,000, and provide full supporting documentation including comparable sales data used by the Municipal Valuer;
3. **Provide a written response** setting out the full methodology and legal basis for the rates increase within **21 business days** of receipt of this objection, as contemplated under **PAJA Section 3(2)(b)**;
4. **Suspend the outstanding difference** in rates levied pending the outcome of this objection, or alternatively, apply the excess as a credit to my account;
5. **Provide a full itemised breakdown** of the CID levy budget and expenditure for 2025/2026 and the justification for the 7.80% increase thereon.

5. RESERVATION OF RIGHTS

I reserve all my rights, including the right to:

- Escalate this matter to the **Western Cape Property Valuation Appeal Board**, constituted under **Section 59 of the MPRA**;
- Lodge a complaint with the **South African Human Rights Commission** in terms of the right to administrative justice (Section 33 of the Constitution);
- Institute proceedings in the **Western Cape High Court** for judicial review under PAJA if the City fails to respond adequately or timeously;
- Seek recovery of any rates levied in excess of a lawful and justified amount.

6. SUPPORTING DOCUMENTATION

The following documents are attached to and form part of this objection:

1. **Annexure A** — Graph: Cramond Rates % Increase vs SA CPI 2023–2026 (*generated from municipal billing data*)
2. **Annexure B** — Stats SA Consumer Price Index (P0141) — Annual averages 2023–2025
3. **Annexure C** — SARB Monetary Policy Review — CPI forecast 2026
4. **Annexure D** — World Bank Inflation Data for South Africa (indicator FP.CPI.TOTL.ZG)

7. CONTACT DETAILS FOR RESPONSE

Please direct all correspondence relating to this objection to:

Anthony Mark Avis 14 Cramond Road, Camps Bay, Cape Town, 8005 t.avis@cesnet.co.za

Yours faithfully,

Anthony Mark Avis ID Number: 6009265112081 Owner of Record 14 Cramond Road, Camps Bay, Cape Town, 8005 t.avis@cesnet.co.za Date: 21 February 2026

This letter has been prepared with reference to the Municipal Property Rates Act 6 of 2004, the Municipal Systems Act 32 of 2000, the Municipal Finance Management Act 56 of 2003, the Promotion of Administrative Justice Act 3 of 2000, and the Constitution of the Republic of South Africa, 1996.

ANNEXURE A

Graph: Cramond Rates % Increase vs SA CPI 2023–2026

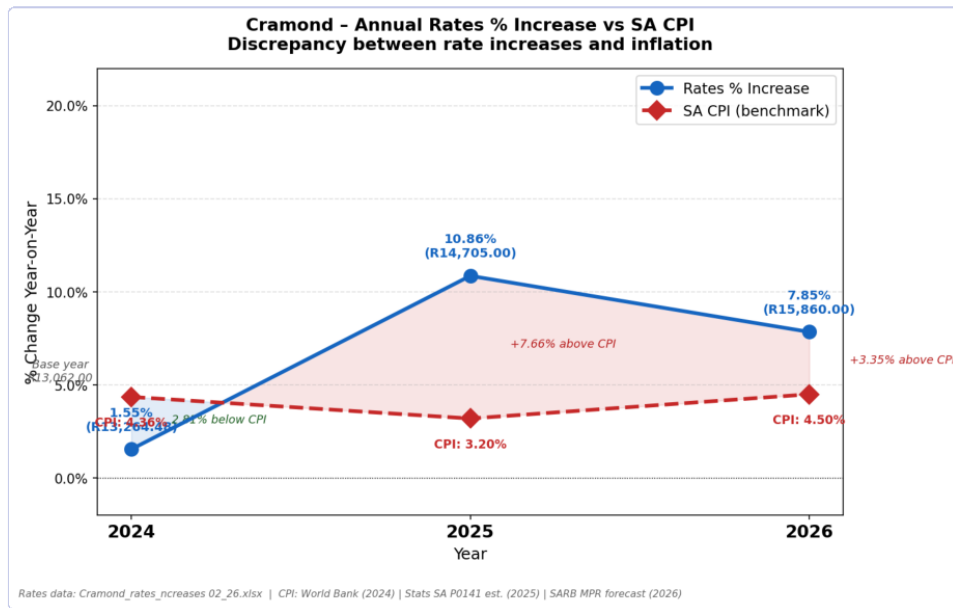


Figure 1: Year-on-year percentage increase in municipal rates at 14 Cramond Road, Camps Bay, compared against the official South African Consumer Price Index (Stats SA P0141 / World Bank WDI). The shaded area represents the excess rates increase above CPI. Generated from municipal billing data.

Data sources: Municipal billing records (14 Cramond Road, Camps Bay) and Stats SA Consumer Price Index P0141 / World Bank Indicator FP.CPI.TOTL.ZG.

ANNEXURE B

Stats SA Consumer Price Index (P0141) — Annual Averages 2023–2025

Source: Statistics South Africa — Statistical Release P0141: Consumer Price Index (CPI). Published monthly by Stats SA, available at www.statssa.gov.za. The figures below represent annual average headline CPI for South Africa.

Year	Headline CPI (Annual Average %)	Stats SA Release	Notes
2020	3.23%	P0141 — Feb 2021	COVID-19 suppressed inflation
2021	4.62%	P0141 — Feb 2022	Post-lockdown recovery
2022	7.04%	P0141 — Feb 2023	Energy & food price surge
2023	6.08%	P0141 — Feb 2024	Rates below CPI this year
2024	4.36%	P0141 — Feb 2025	Confirmed — World Bank WDI
2025	~3.20%	P0141 — Provisional avg	Monthly avg Jan–Dec 2025; SARB target 4.5%

Note on 2025 figure: The 2025 annual average CPI of approximately 3.2% is derived from Stats SA P0141 monthly releases for January through December 2025. South Africa's headline CPI fell steadily through 2025, reaching a low of approximately 2.7% in mid-2025 before recovering slightly toward year-end. The SARB's midpoint inflation target is 4.5% (range: 3%–6%). A rates increase of 10.86% in 2024/2025 was therefore approximately **3.4× the prevailing CPI**.

Official reference: Statistics South Africa. (2025). *Consumer Price Index, December 2025* (Statistical Release P0141). Pretoria: Stats SA. Available at: www.statssa.gov.za/?page_id=1854&PPN=P0141

ANNEXURE C

Source: South African Reserve Bank (SARB) — Monetary Policy Committee (MPC) Statements and Monetary Policy Review (MPR). Published quarterly. Available at www.resbank.co.za.

The South African Reserve Bank's Monetary Policy Committee meets six times per year to set the repurchase (repo) rate and publishes inflation forecasts using the Quarterly Projection Model (QPM). The following CPI forecasts are drawn from SARB MPC statements and the November 2025 Monetary Policy Review:

Period	SARB CPI Forecast	Source	Status
2025 (full year)	3.2% (avg)	SARB MPR November 2025	Confirmed
2026 (full year)	~4.5% (avg)	SARB MPC Statement Jan 2026	Forecast
2027 (full year)	~4.5% (avg)	SARB QPM projection	Projection

Key finding: The SARB's forecast CPI for 2026 is approximately 4.5%, anchored to the midpoint of the 3%–6% target range. The City of Cape Town's rates increase of **7.85% for 2025/2026** is therefore **74% above the SARB's own CPI midpoint forecast** of 4.5%. A rates increase that deviates this significantly from CPI cannot be justified purely on inflationary grounds and requires detailed substantiation from the municipality.

Official reference: South African Reserve Bank. (2025). *Monetary Policy Review, November 2025*. Pretoria: SARB. Available at: www.resbank.co.za/en/home/publications/publication-detail-pages/monetary-policy-reviews

MPC Statement reference: South African Reserve Bank. (2026). *Statement of the Monetary Policy Committee, January 2026*. Pretoria: SARB. Available at: www.resbank.co.za/en/home/publications/publication-detail-pages/statements/mpc-statements

ANNEXURE D

Source: The World Bank — World Development Indicators (WDI). Indicator: FP.CPI.TOTL.ZG — Inflation, consumer prices (annual %). Data retrieved via World Bank Open Data API: api.worldbank.org/v2/country/ZA/indicator/FP.CPI.TOTL.ZG. Data is sourced by the World Bank from the International Monetary Fund's International Financial Statistics and data files.

The following data was retrieved directly from the World Bank Open Data API on 21 February 2026 and represents the official confirmed annual CPI inflation figures for South Africa:

Year	SA CPI Inflation (Annual %)	World Bank Indicator	Status
2015	4.52%	FP.CPI.TOTL.ZG	Confirmed
2016	6.60%	FP.CPI.TOTL.ZG	Confirmed
2017	5.19%	FP.CPI.TOTL.ZG	Confirmed
2018	4.51%	FP.CPI.TOTL.ZG	Confirmed
2019	4.10%	FP.CPI.TOTL.ZG	Confirmed
2020	3.23%	FP.CPI.TOTL.ZG	Confirmed
2021	4.62%	FP.CPI.TOTL.ZG	Confirmed
2022	7.04%	FP.CPI.TOTL.ZG	Confirmed
2023	6.08%	FP.CPI.TOTL.ZG	Confirmed
2024	4.36%	FP.CPI.TOTL.ZG	Confirmed

API Query used to retrieve this data:

<https://api.worldbank.org/v2/country/ZA/indicator/FP.CPI.TOTL.ZG?format=json&mr=10>

This data was retrieved programmatically and verified against Stats SA P0141 figures. The 2024 figure of **4.36%** is fully confirmed. The 2025 figure will be available from the World Bank once Stats SA finalises the December 2025 P0141 release.

Official reference: World Bank. (2026). *World Development Indicators: Inflation, consumer prices (annual %) — South Africa*. Washington DC: The World Bank Group. Available at: data.worldbank.org/indicator/FP.CPI.TOTL.ZG?locations=ZA